

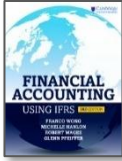
FINANCIAL STATEMENT ANALYSIS

RSM219: INTRODUCTION TO FINANCIAL ACCOUNTING

CONTENTS

WELCOME.....	2
WARM-UP.....	3
ANALYSIS AND INTERPRETATION OF FINANCIAL STATEMENTS	4
#1 We use financial ratios to help diagnose financial health.	4
#2 We can use DuPont analysis to understand company performance.....	8
Step 1: Evaluate the ability to generate revenues through efficient use of assets	9
Step 2: Evaluate the ability to turn revenues into profits (profitability).....	13
Step 3: Understand the trade-offs between efficiency and profitability	14
Step 4: Evaluate the use of leverage as a “magnifier”	16
Appendix 1: Amazon financial statements & notes	19
Appendix 2: Meta financial statements & notes	21
Appendix 3: Apple financial information (selected)	23
NOTES AND REFLECTIONS.....	24

WELCOME



FOUNDATIONS

Class 1

Introducing financial accounting

Class 2

Conceptual framework

Class 3

Analysing transactions (1/2)

Class 4

Analysing transactions (2/2)

ANALYSIS

Class 5

Reporting and analysing cash flows

Class 6

Analysing and interpreting financial statements

OPERATIONS

Class 7

Revenues & receivables

Class 8

Inventories and current liabilities

INVESTING & FINANCING

Class 9

Long-term operating assets

Class 10

Financial investments

Class 11

Debt and equity
Course review

CLASSWORK (~ 4.5 to 8 hrs)

BEFORE CLASS (~ 1.5 hours):

- ☐ (60 min) Read the textbook relating to the learning outcomes for this class. Focus on pp. 550-558.
- ☐ (30 min) Analyze the financial statements and segment disclosures for Amazon, Meta, and Apple (see Appendices). Prepare “rough” point-form answers to the exercises. Be ready to discuss your ideas (and prepare your questions).

CLASS (~ 2 hours):

- ☐ Attend the lecture and ask clarifying questions.

AFTER CLASS (~ 1 to 3 hours):

- ☐ (10-30 min) Debrief the key concepts and workbook notes.
- ☐ (30-90 min) Work through the practice questions/problems.
- ☐ (30-90 min) Clarify remaining topics by reading the textbook and posting any remaining questions to [discussion board](#).

TUTORIAL (~ 1 hour):

- ☐ (60 min) Attend the tutorial session and clarify concepts.

ONGOING WORK (~ 0.5 hours)

- ☐ (30 min) Submit the Weekly Assignment on [Quercus](#).

LEARNING OUTCOMES (LOs)

READINGS: Ch. 12 (pp. 542-565)

- ☐ LO1 | Prepare and analyse common-size financial statements. (pp. 545-550) – covered in Class 2
- ☐ LO2 | Compute and interpret measures of return on investment, including return on equity (ROE), return on assets (ROA), and return on financial leverage (ROFL). (pp. 550-553) – focus on financial leverage as defined in this workbook.
- ☐ LO3 | Disaggregate ROA into profitability (profit margin) and efficiency (asset turnover) components. (pp. 553-558)
- ☐ LO4 | Compute and interpret measures of liquidity and solvency. (pp. 558-565)

WARM-UP

Financial statement analysis – four lenses:

1.

STRATEGIC

Identify profit potential & business risks
2.

ACCOUNTING

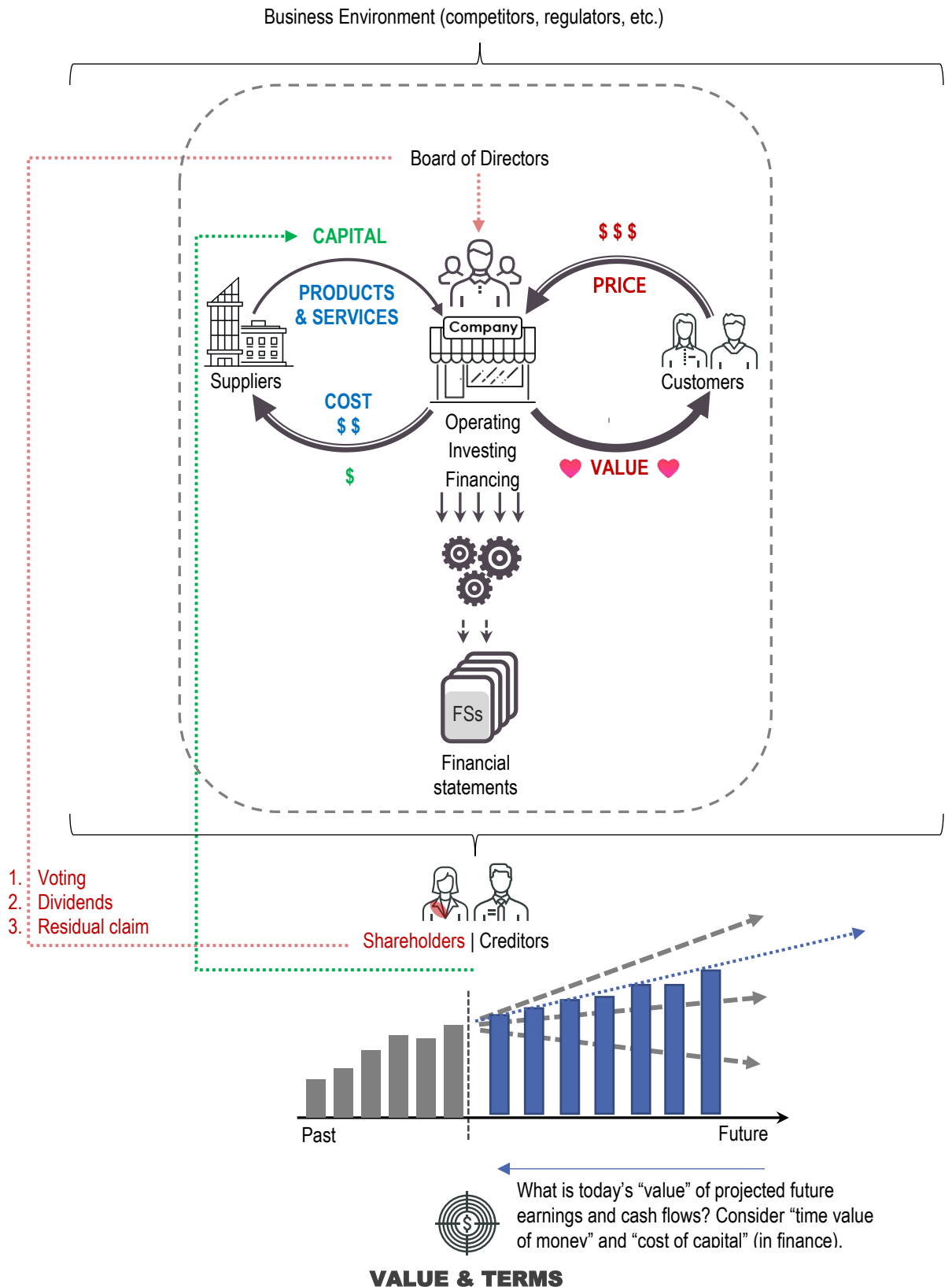
Evaluate quality & adjust to “reality”
3.

FINANCIAL

Evaluate performance, risk, & sustainability
4.

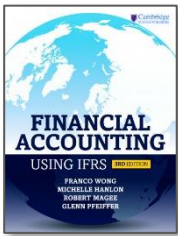
PROSPECTIVE

Forecast & value

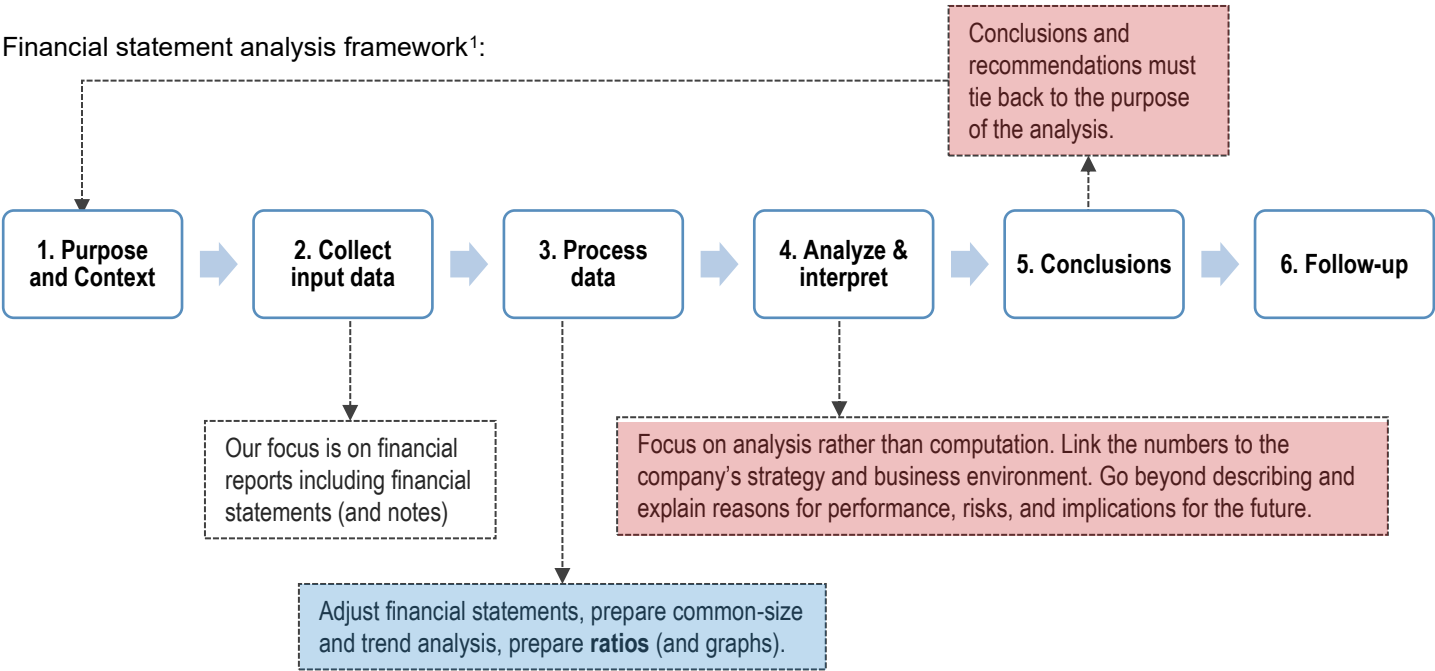


ANALYSIS AND INTERPRETATION OF FINANCIAL STATEMENTS

#1 | We use financial ratios to help diagnose financial health.



- We use financial ratios to help diagnose financial health
- ❑ Financial ratios help us relate items on the financial statements in a meaningful and comparable way
 - ❑ Definitions of the ratios may vary depending on the purpose of the analysis
 - ❑ Financial ratios are generally used to identify key questions for further analysis – rather than providing deep insight by themselves



EXERCISE 1.1: Uses and limitations of ratios

REFLECT: Reflect on the benefits and limitations of ratios.

Benefits	Limitations
❑ Identifies key economic relationships (e.g., gross profit to revenues, earnings to assets, etc.) ❑ Comparability of financial performance over time (scaled) ❑ Comparability with other companies (or industry benchmarks) ❑ Easy access through data aggregators (e.g., Capital IQ, FactSet, Bloomberg, etc.) – but be careful!	❑ Difficult to find “comparable” companies (or even clearly identify an industry/sector for some companies). Consider industry-specific ratios but be aware of ratio definitions! ❑ Irregular items can skew ratios and need to be carefully considered (and, adjusted) ❑ Different companies may use different accounting standards and judgments (e.g., IFRS vs. US GAAP), making it more difficult to compare ratios.

¹ Adapted from van Greuning and Bratanovic (2003, p. 300) and Benninga and Sarig (1997, pp. 134-157)



EXERCISE 1.2: Amazon (AMZN)

Analyze the selected financial statements and segment disclosures of Amazon (see [Appendix 1](#)). Recall our previous analysis of Amazon and the following key points:

- ☐ Revenues rose 12% to \$717 billion in 2025, and gross profit margins expanded to 50.3%.
- ☐ The swing in "other income (expense), net" continues to add volatility to earnings: this line moved from a \$2.3 billion expense in 2024 to a \$15.2 billion gain in 2025. This relates to fair value measurement of Amazon's [investment](#) in [Rivian](#). Net income grew 31% to \$77.7 billion, helped by this non-operating swing on top of stronger operating performance.
- ☐ On the balance sheet, retained earnings again increased by exactly the amount of net income (from \$172,866M to \$250,536M, a \$77,670M increase matching 2025 net income), confirming Amazon continues to retain all its earnings. Goodwill was essentially unchanged at \$23.3 billion (vs. \$23.1 billion in 2024), suggesting limited acquisition activity.



REFLECT: Review Amazon's segment disclosures. What operating segment is most profitable?



EXERCISE 1.3: Meta Platforms (META)

Analyze the selected financial statements and segment disclosures of Meta Platforms (see [Appendix 2](#)). Notice that Meta reports two primary segments:

- ☐ **Family of Apps:** includes Facebook, Instagram, WhatsApp, and Messenger.
- ☐ **Reality Labs:** Focused on augmented and virtual reality products (including [Meta Quest](#) hardware).



REFLECT: Review Meta's segment disclosures. Which segment is most profitable?



EXERCISE 1.4: Segment disclosures by product category – Apple (AAPL)

Analyze the selected segment disclosures below and recall the following observations from previous classes (selected statements provided in the [Appendix 3](#)):

- ☐ Apple's revenue growth accelerated in fiscal 2025 (up 6.4% to \$416.2 billion, versus only 2.0% growth in fiscal 2024). Gross margin % continued to increase, reaching 46.9% (from 46.2% in fiscal 2024 and 44.1% in fiscal 2023).
- ☐ Apple continued returning capital to shareholders in 2025 through dividends and share repurchases.



REFLECT: Review Apple's segment disclosures below. Which segments grew or declined in fiscal 2025?

Products and Services Performance

The following table shows net sales by category for 2025, 2024 and 2023 (dollars in millions):

	2025	Change	2024	Change	2023
iPhone	\$209,586	4%	\$201,183	—%	\$200,583
Mac	33,708	12%	29,984	2%	29,357
iPad	28,023	5%	26,694	(6)%	28,300
Wearables, Home and Accessories	35,686	(4)%	37,005	(7)%	39,845
Services	109,158	14%	96,169	13%	85,200
Total net sales	\$416,161	6%	\$391,035	2%	\$383,285

Gross Margin

Products and Services gross margin and gross margin percentage for 2025, 2024 and 2023 were as follows (dollars in millions):

	2025	2024	2023
Gross margin:			
Products	\$112,887	\$109,633	\$108,803
Services	82,314	71,050	60,345
Total gross margin	\$195,201	\$180,683	\$169,148
Gross margin percentage:			
Products	36.8%	37.2%	36.5%
Services	75.4%	73.9%	70.8%
Total gross margin percentage	46.9%	46.2%	44.1%



EXERCISE 1.5: Segment disclosures by geography – Apple (AAPL)

REFLECT: Review Apple's segment disclosures below. Which segments grew or declined in fiscal 2025?

Note 13 – Segment Information and Geographic Data

The Company manages its business primarily on a geographic basis. The Company's CEO is its CODM.

The Company's reportable segments consist of the Americas, Europe, Greater China, Japan and Rest of Asia Pacific. Americas includes both North and South America. Europe includes European countries, as well as India, the Middle East and Africa. Greater China includes China mainland, Hong Kong and Taiwan. Rest of Asia Pacific includes Australia, New Zealand and those Asian countries not included in the Company's other reportable segments. Although the reportable segments provide similar hardware and software products and similar services, each one is managed separately to better align with the location of the Company's customers and distribution partners and the unique market dynamics of each geographic region.

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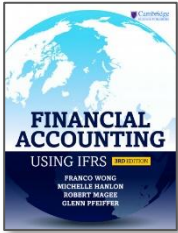
The following tables show information by reportable segment for 2025, 2024 and 2023 (in millions):

2025							
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	\$178,353	\$111,032	\$64,377	\$28,703	\$33,696	\$—	\$416,161
Cost of sales	(95,699)	(58,617)	(35,141)	(13,779)	(17,724)	—	(220,960)
Research and development	—	—	—	—	—	(34,550)	(34,550)
Selling and marketing	(10,174)	(4,676)	(2,319)	(969)	(1,386)	—	(19,524)
General and administrative	—	—	—	—	—	(8,077)	(8,077)
Operating income/(loss)	\$72,480	\$47,739	\$26,917	\$13,955	\$14,586	\$(42,627)	\$133,050

2024							
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	\$167,045	\$101,328	\$66,952	\$25,052	\$30,658	\$—	\$391,035
Cost of sales	(89,587)	(55,197)	(37,519)	(11,744)	(16,305)	—	(210,352)
Research and development	—	—	—	—	—	(31,370)	(31,370)
Selling and marketing	(9,802)	(4,341)	(2,351)	(854)	(1,291)	—	(18,639)
General and administrative	—	—	—	—	—	(7,458)	(7,458)
Operating income/(loss)	\$67,656	\$41,790	\$27,082	\$12,454	\$13,062	\$(38,828)	\$123,216

2023							
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	\$162,560	\$94,294	\$72,559	\$24,257	\$29,615	\$—	\$383,285
Cost of sales	(92,394)	(54,101)	(39,787)	(11,542)	(16,313)	—	(214,137)
Research and development	—	—	—	—	—	(29,915)	(29,915)
Selling and marketing	(9,658)	(4,095)	(2,444)	(827)	(1,236)	—	(18,260)
General and administrative	—	—	—	—	—	(6,672)	(6,672)
Operating income/(loss)	\$60,508	\$36,098	\$30,328	\$11,888	\$12,066	\$(36,587)	\$114,301

#2 | We can use DuPont analysis to understand company performance



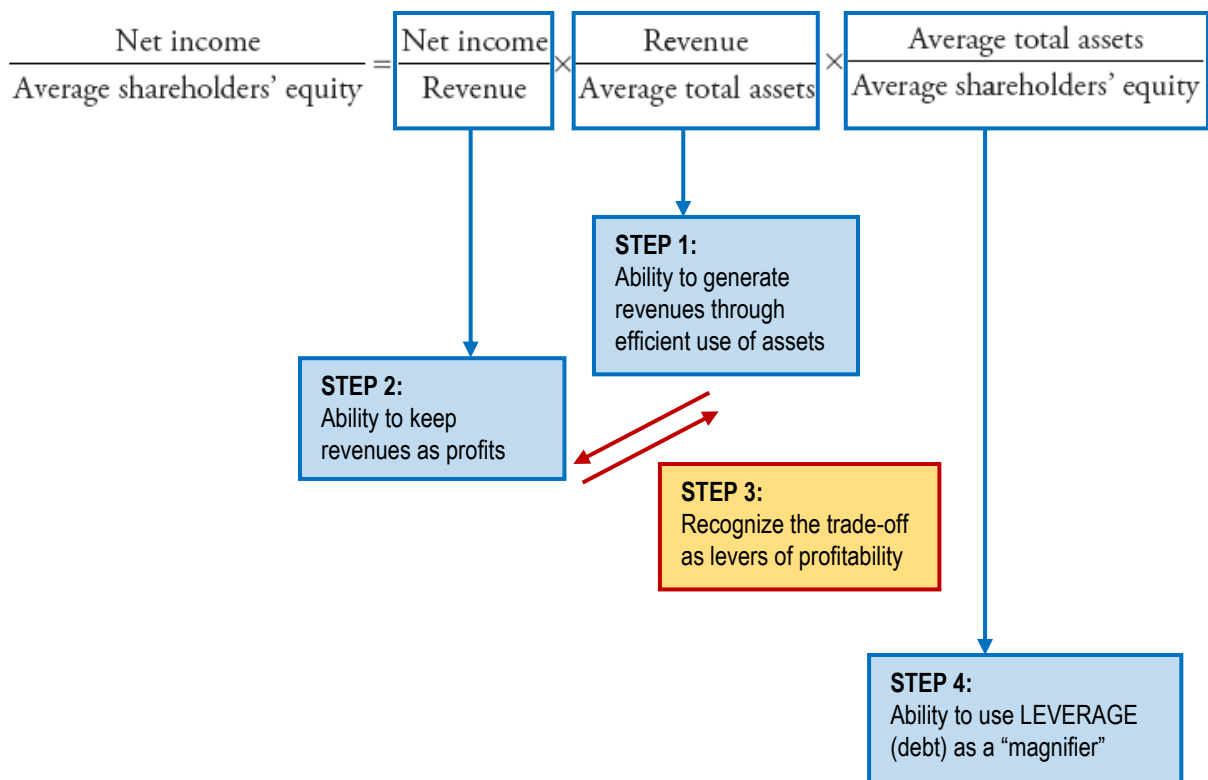
Chapter 12 | LO 2, 3, 4

- ❑ Compute and interpret measures of return on investment, including return on equity (ROE), return on assets (ROA), and return on financial leverage (ROFL). (pp. 550-553) – focus on financial leverage as defined in this workbook.
- ❑ Disaggregate ROA into profitability (profit margin) and efficiency (asset turnover) components. (pp. 553-558)
- ❑ Compute and interpret measures of liquidity and solvency. (pp. 558-565)

DuPont analysis and integrative ratios

It is critical to understand the relationships between various ratios. DuPont analysis allows us to decompose an important profitability measure: return on equity (ROE). By breaking it down, we can understand the drivers of ROE (over time and compared to other companies).

$$\text{ROE} = \text{Net income} / \text{Average shareholders' equity}$$



Step 1: Evaluate the ability to generate revenues through efficient use of assets

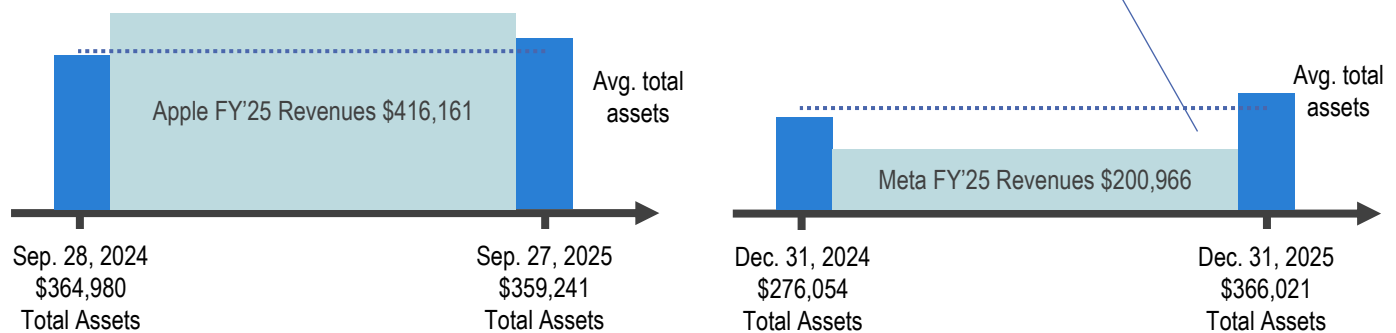


EXERCISE 2.1: Generating revenues

REFLECT: Evaluate the following ratios for each of the companies below. What are your insights?

Efficiency in using assets to generate revenues	COMPANY	FY2025	FY2024	FY2023
Total asset turnover	AMZN	0.99	1.11	1.16
= sales revenue / average total assets	META	0.63	0.65	0.65
	AAPL	1.15	1.09	1.09

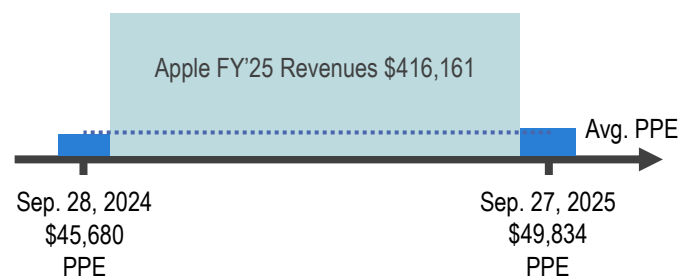
$$\text{Total asset turnover} = \frac{\text{Sales revenue}}{\text{Average total assets}} = \frac{\$416,161}{(\$364,980 + \$359,241) \div 2} = 1.15$$



Insights and challenges:

PPE turnover	AMZN	2.35	2.79	2.94
= sales revenue / average PPE	META	1.35	1.51	1.53
	AAPL	8.71	8.75	8.93

$$\text{PPE turnover} = \frac{\text{Sales revenue}}{\text{Average PPE}} = \frac{\$416,161}{(\$45,680 + \$49,834) \div 2} = 8.71$$



Efficiency in managing inventories	COMPANY	FY2025	FY2024	FY2023
Inventory turnover	AMZN	9.8	9.7	9.0
= cost of goods sold / average inventory	META	N/A	N/A	N/A
	AAPL	29.9	27.2	33.6

$$\text{Inventory turnover} = \frac{\text{COGS}}{\text{Average inventory}} = \frac{\$194,116}{(\$7,286 + \$5,718) \div 2} = 29.9$$



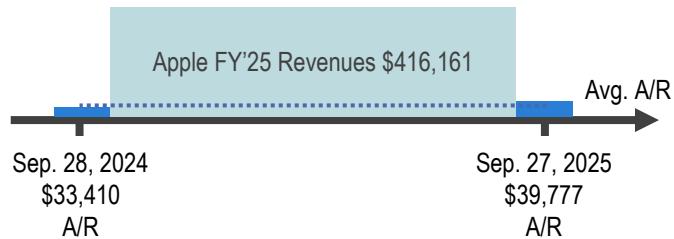
Days of inventory outstanding	AMZN	37	38	41
= days in period / inventory turnover	META	N/A	N/A	N/A
	AAPL	12	13	11

$$\text{Days of inventory outstanding} = \frac{\text{Days in period}}{\text{Inventory turnover}} = \frac{365}{29.9} = 12$$

Insights and challenges:

Efficiency in managing receivables	COMPANY	FY2025	FY2024	FY2023
Receivables turnover	AMZN	11.6	11.8	12.2
= revenue / average receivable	META	10.9	9.9	9.1
	AAPL	11.4	12.4	13.3

$$\text{Receivables turnover} = \frac{\text{Net sales}}{\text{Average A/R}} = \frac{\$416,161}{(\$33,410 + \$39,777) \div 2} = 11.4$$



Days of sales outstanding	AMZN	31	31	30
= days in period / receivables turnover	META	33	37	40
	AAPL	32	29	27

$$\text{Days of sales outstanding} = \frac{\text{Days in period}}{\text{A/R turnover}} = \frac{365}{11.4} = 32$$

Insights and challenges:

Efficiency in managing the cash cycle	COMPANY	FY2025	FY2024	FY2023
Payables turnover	AMZN	3.3	3.6	3.7
(we can use cost of sales as proxy for purchases)	META	4.4	4.8	5.3
= cost of sales / average trade payables	AAPL	3.2	3.2	3.4

$$\text{Payables turnover} = \frac{\text{Cost of sales}}{\text{Average A/P}} = \frac{\$220,960}{(\$68,960 + \$69,860) \div 2} = 3.2$$

Days of payables outstanding	AMZN	111	100	99
= days in period / payables turnover	META	83	76	69
	AAPL	114	114	108

$$\text{Days of payables outstanding} = \frac{\text{Days in period}}{\text{A/P turnover}} = \frac{365}{3.2} = 114$$

Insights and challenges:

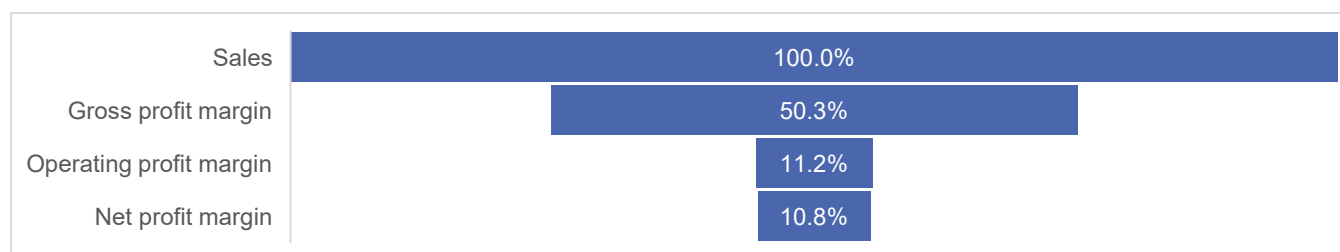
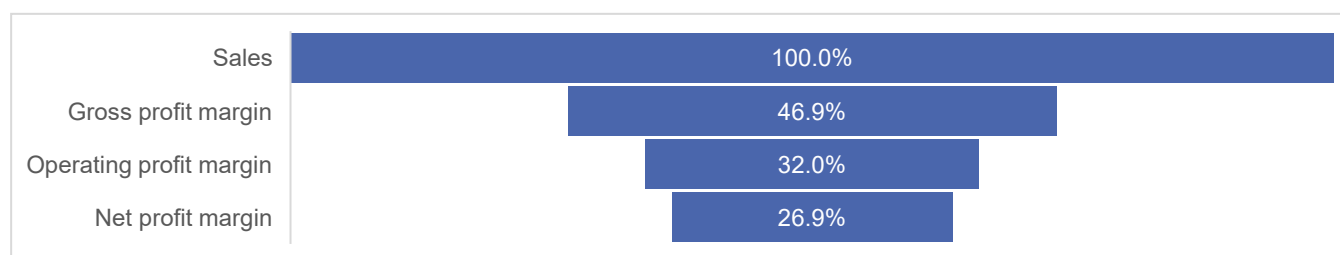
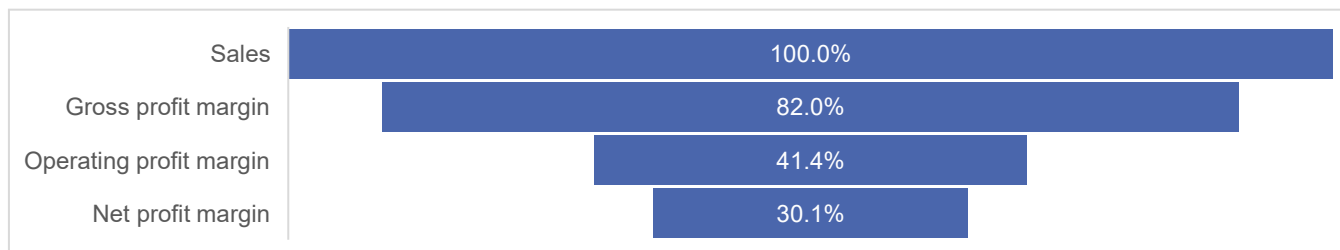
Efficiency in managing the cash cycle	COMPANY	FY2025	FY2024	FY2023
CASH CONVERSION CYCLE	AMZN	(43)	(31)	(28)
= days in inventory	META	(50)	(39)	(29)
+ days sales outstanding	AAPL	(70)	(72)	(70)
– days of payables				
= 12 + 32 – 114 = - 70				

$$\begin{aligned} &\text{CASH CONVERSION CYCLE} \\ &= \text{days in inventory} \\ &+ \text{days sales outstanding} \\ &- \text{days of payables} \\ &= 12 + 32 - 114 = - 70 \end{aligned}$$

Step 2: Evaluate the ability to turn revenues into profits (profitability)

EXERCISE 2.2: Business models and profitability

REFLECT: Before looking at the table below, match each funnel to Amazon, Meta, or Apple using only what you know about their business models. Then check your answer against the table and explain what feature of each business drives the shape of its funnel.



Profitability analysis		FY2025	FY2024	FY2023
Gross profit margin = (sales revenue – cost of sales) / sales revenue = gross profit / sales revenue = \$195,201 / \$416,161 = 46.9%	AMZN	50.3%	48.9%	47.0%
	META	82.0%	81.7%	80.8%
	AAPL	46.9%	46.2%	44.1%
Operating profit margin = operating income / sales revenue = \$133,050 / \$416,161 = 32.0%	AMZN	11.2%	10.8%	6.4%
	META	41.4%	42.2%	34.7%
	AAPL	32.0%	31.5%	29.8%
Net profit margin = net income / sales revenue = \$112,010 / \$416,161 = 26.9%	AMZN	10.8%	9.3%	5.3%
	META	30.1%	37.9%	29.0%
	AAPL	26.9%	24.0%	25.3%

Step 3: Understand the trade-offs between efficiency and profitability



EXERCISE 2.3a: Understanding ROA

REFLECT: Critically evaluate the return on asset (ROA) ratio. What are some challenges of using this ratio to evaluate company performance? Be critical.

Evaluating the trade-offs between efficiency and profitability		FY2025	FY2024	FY2023
Total asset turnover = sales revenue / average total assets	AMZN	0.99	1.11	1.16
	META	0.63	0.65	0.65
	AAPL	1.15	1.09	1.09
Net profit margin = net income / sales revenue	AMZN	10.8%	9.3%	5.3%
	META	30.1%	37.9%	29.0%
	AAPL	26.9%	24.0%	25.3%
Return on assets (ROA) = net income / average total assets = net profit margin x total asset turnover	AMZN	10.8%	10.3%	6.1%
	META	18.8%	24.7%	18.8%
	AAPL	30.9%	26.1%	27.5%

$$\text{Return on Assets (ROA)} = \frac{\text{Net income}}{\text{Average total assets}} = \frac{\$112,010}{(\$364,980 + \$359,241) \div 2} = 30.9\%$$

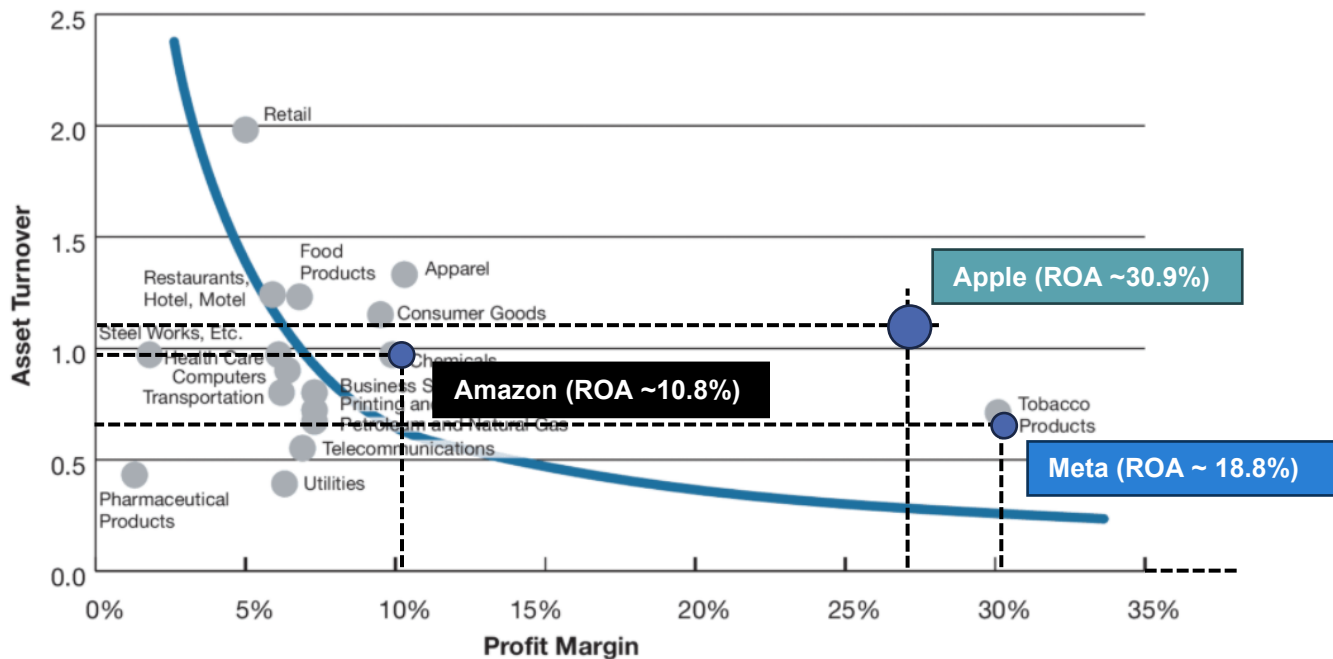
Insights and challenges:



EXERCISE 2.3b: Explaining trade-offs

REFLECT: Review the graph below and write down your main observations/insights.

For those interested in additional research studies on this topic, see the framework in Nissim, D., & Penman, S. H. (2001). [Ratio analysis and equity valuation: From research to practice](#). Review of accounting studies, 6(1), 109-154. Graph below reproduced from Wong et al. 2nd ed.



Key insights:

Step 4: Evaluate the use of leverage as a “magnifier”



EXERCISE 2.4a: Understanding basic leverage

REFLECT: Critically evaluate the financial leverage ratio. What are some challenges of using this ratio to evaluate company performance? Be critical.

Evaluating the returns on investments and the use of leverage		FY2025	FY2024	FY2023
Return on assets (ROA) = net income / average total assets = net profit margin x total asset turnover	AMZN	10.8%	10.3%	6.1%
	META	18.8%	24.7%	18.8%
	AAPL	30.9%	26.1%	27.5%
Financial leverage (FL) = average total assets / average total equity	AMZN	2.1	2.4	2.8
	META	1.6	1.5	1.5
	AAPL	5.5	6.0	6.3

$$\text{Financial leverage (FL)} = \frac{\text{Average total assets}}{\text{Average total equity}} = \frac{(\$364,980 + \$359,241) \div 2}{(56,950 + 73,733) \div 2} = 5.5$$

Insights and challenges:

Return on equity (ROE) = net income / average total equity = net profit margin x total asset turnover x FL = ROA x financial leverage	AMZN	22.3%	24.3%	17.5%
	META	30.2%	37.1%	28.0%
	AAPL	171.4%	157.4%	171.9%

$$\text{Return on Equity (ROE)} = \frac{\text{Net income}}{\text{Average total equity}} = \frac{\$112,010}{(56,950 + 73,733) \div 2} = 171.4\%$$



**EXERCISE 2.4b: Evaluating solvency****REFLECT:** Evaluate the following ratios for each of the companies below. What are your insights?

Solvency analysis and the use of leverage		FY2025	FY2024	FY2023
Debt-to-equity	AMZN	1.0	1.2	1.6
= total liabilities / total equity	META	0.7	0.5	0.5
	AAPL	3.9	5.4	4.7

$$\text{Debt-to-equity} = \frac{\text{Total liabilities}}{\text{Total equity}} = \frac{\$285,508}{\$73,733} = 3.9$$

Interest coverage	AMZN	43.8	29.5	12.8
= EBIT / interest expense	META	74.8	99.8	107.3
[interest expense disclosed as \$3,933 in FY2023]	AAPL	?	?	29.9
[NOT disclosed in FY2024 or FY2025]				

$$\text{Interest coverage} = \frac{\text{Earnings before interest and taxes}}{\text{Interest expense}} = \frac{\$96,995 + 16,741 + 3,933}{\$3,933} = 29.9$$

Other Income/(Expense), Net

The following table shows the detail of other income/(expense), net for 2023, 2022 and 2021 (in millions):

	2023	2022	2021
Interest and dividend income	\$ 3,750	\$ 2,825	\$ 2,843
Interest expense	(3,933)	(2,931)	(2,645)
Other income/(expense), net	(382)	(228)	60
Total other income/(expense), net	\$ (565)	\$ (334)	\$ 258



EXERCISE 2.4c: Evaluating liquidity

REFLECT: Evaluate the following ratios for each of the companies below. What are your insights?

Liquidity analysis		FY2025	FY2024	FY2023
Current ratio				
= current assets / current liabilities	AMZN	1.1	1.1	1.0
	META	2.6	3.0	2.7
	AAPL	0.9	0.9	1.0

$$\text{Current ratio} = \frac{\text{current assets}}{\text{current liabilities}} = \frac{\$147,957}{\$165,631} = 0.9$$

Quick ratio	AMZN	0.9	0.9	0.8
= "Quick assets" / current liabilities	META	2.4	2.8	2.6
	AAPL	0.6	0.6	0.6

$$\text{Quick ratio} = \frac{\text{cash} + \text{short-term securities} + \text{accounts receivable}}{\text{current liabilities}} = \frac{\$35,934 + 18,763 + 39,777}{\$165,631} = 0.6$$

APPENDIX 1: AMAZON FINANCIAL STATEMENTS & NOTES

AMAZON.COM, INC.
CONSOLIDATED STATEMENTS OF OPERATIONS
(in millions)

Year ended December 31,	2023	2024	2025
Net product sales	\$255,887	\$272,311	\$296,266
Net service sales	318,898	365,648	420,658
Total net sales	574,785	637,959	716,924
Operating expenses:			
Cost of sales	304,739	326,288	356,414
Fulfillment	90,619	98,505	109,074
Technology and infrastructure	85,622	88,544	108,521
Sales and marketing	44,370	43,907	47,129
General and administrative	11,816	11,359	11,172
Other operating expense (income), net	767	763	4,639
Total operating expenses	537,933	569,366	636,949
Operating income	36,852	68,593	79,975
Interest income	2,949	4,677	4,381
Interest expense	(3,182)	(2,406)	(2,274)
Other income (expense), net	938	(2,250)	15,229
Total non-operating income	705	21	17,336
Income before income taxes	37,557	68,614	97,311
Provision for income taxes	(7,120)	(9,265)	(19,087)
Equity-method investment activity, net of tax	(12)	(101)	(554)
Net income	\$30,425	\$59,248	\$77,670

Note 10 — SEGMENT INFORMATION

We have organized our operations into three segments: North America, International, and AWS.

Information on reportable segments and reconciliation to consolidated net income (loss) is as follows (in millions):

Year ended December 31,	2023	2024	2025
North America			
Net sales	\$352,828	\$387,497	\$426,305
Operating expenses	337,951	362,530	396,686
Operating income	\$14,877	\$24,967	\$29,619
International			
Net sales	\$131,200	\$142,906	\$161,894
Operating expenses	133,856	139,114	157,144
Operating income (loss)	\$(2,656)	\$3,792	\$4,750
AWS			
Net sales	\$90,757	\$107,556	\$128,725
Operating expenses	66,126	67,722	83,119
Operating income	\$24,631	\$39,834	\$45,606
Consolidated			
Net sales	\$574,785	\$637,959	\$716,924
Operating expenses	537,933	569,366	636,949
Operating income	36,852	68,593	79,975

AMAZON.COM, INC.
CONSOLIDATED BALANCE SHEETS
(in millions)

December 31,	2024	2025
ASSETS		
Current assets:		
Cash and cash equivalents	\$78,779	\$86,810
Marketable securities	22,423	36,219
Inventories	34,214	38,325
Accounts receivable, net and other	55,451	67,729
Total current assets	190,867	229,083
Property and equipment, net	252,665	357,025
Operating leases	76,141	86,054
Goodwill	23,074	23,273
Other assets	82,147	122,607
Total assets	\$624,894	\$818,042
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	\$94,363	\$121,909
Accrued expenses and other	66,965	75,520
Unearned revenue	18,103	20,576
Total current liabilities	179,431	218,005
Long-term lease liabilities	78,277	87,339
Long-term debt	52,623	65,648
Other long-term liabilities	28,593	35,985
Commitments and contingencies (Note 7)		
Stockholders' equity:		
Preferred stock (\$0.01 par value; 500 shares authorized; no shares issued or outstanding)	—	—
Common stock (\$0.01 par value; 100,000 shares authorized; 11,108 and 11,246 shares issued; 10,593 and 10,731 shares outstanding)	111	112
Treasury stock, at cost	(7,837)	(7,837)
Additional paid-in capital	120,864	140,024
Accumulated other comprehensive income (loss)	(34)	28,230
Retained earnings	172,866	250,536
Total stockholders' equity	285,970	411,065
Total liabilities and stockholders' equity	\$624,894	\$818,042

APPENDIX 2: META FINANCIAL STATEMENTS & NOTES

META PLATFORMS, INC.
CONSOLIDATED STATEMENTS OF INCOME
(In millions)

Year Ended December 31,	2025	2024	2023
Revenue	\$200,966	\$164,501	\$134,902
Costs and expenses:			
Cost of revenue	36,175	30,161	25,959
Research and development	57,372	43,873	38,483
Marketing and sales	11,991	11,347	12,301
General and administrative	12,152	9,740	11,408
Total costs and expenses	117,690	95,121	88,151
Income from operations	83,276	69,380	46,751
Interest and other income, net*	2,656	1,283	677
Income before provision for income taxes	85,932	70,663	47,428
Provision for income taxes	25,474	8,303	8,330
Net income	\$60,458	\$62,360	\$39,098

*Interest expense was \$1,165 in 2025, \$715 in 2024, and \$446 in 2023.

Note 15. Segment and Geographical Information

We report our financial results for our two reportable segments: Family of Apps (FoA) and Reality Labs (RL). FoA includes Facebook, Instagram, Messenger, WhatsApp, and other services. RL includes our virtual and augmented reality related consumer hardware, software, and content. Our operating segments are the same as our reportable segments.

Year Ended December 31,	2025	2024	2023
Family of Apps:			
Revenue	\$198,759	\$162,355	\$133,006
Employee compensation (1)	(39,943)	(31,116)	(28,878)
Other costs and expenses (2)	(56,347)	(44,130)	(41,257)
Income from operations	\$102,469	\$87,109	\$62,871
Reality Labs:			
Revenue	\$2,207	\$2,146	\$1,896
Employee compensation (1)	(10,759)	(10,211)	(8,942)
Other costs and expenses (3)	(10,641)	(9,664)	(9,074)
Loss from operations	\$(19,193)	\$(17,729)	\$(16,120)
Total:			
Revenue	\$200,966	\$164,501	\$134,902
Employee compensation (1)	(50,702)	(41,327)	(37,820)
Other costs and expenses	(66,988)	(53,794)	(50,331)
Income from operations	\$83,276	\$69,380	\$46,751

- (1) Employee compensation includes employee payroll, share-based compensation, bonus, and employee benefits for medical care, retirement, insurances and other.
- (2) Includes costs and expenses in FoA segment for infrastructure, professional services, partner arrangements, marketing, facilities, legal-related costs, and other expenses.
- (3) Includes costs and expenses in RL segment for inventory, professional services, marketing, infrastructure, facilities, and other expenses.

META PLATFORMS, INC.
CONSOLIDATED BALANCE SHEETS
(In millions)

December 31,	2025	2024
Assets		
Current assets:		
Cash and cash equivalents	\$35,873	\$43,889
Marketable securities	45,719	33,926
Accounts receivable, net	19,769	16,994
Prepaid expenses and other current assets	7,361	5,236
Total current assets	108,722	100,045
Non-marketable equity investments	27,524	6,070
Property and equipment, net	176,400	121,346
Operating lease right-of-use assets	20,404	14,922
Goodwill	24,534	20,654
Other assets	8,437	13,017
Total assets	\$366,021	\$276,054
Liabilities and stockholders' equity		
Current liabilities:		
Accounts payable	\$8,894	\$7,687
Operating lease liabilities, current	2,213	1,942
Accrued expenses and other current liabilities	30,729	23,967
Total current liabilities	41,836	33,596
Operating lease liabilities, non-current	22,940	18,292
Long-term debt	58,744	28,826
Long-term income taxes	21,005	9,987
Other liabilities	4,253	2,716
Total liabilities	148,778	93,417
Commitments and contingencies		
Stockholders' equity:		
Common stock	—	—
Additional paid-in capital	95,793	83,228
Accumulated other comprehensive income (loss)	271	(3,097)
Retained earnings	121,179	102,506
Total stockholders' equity	217,243	182,637
Total liabilities and stockholders' equity	\$366,021	\$276,054

APPENDIX 3: APPLE FINANCIAL INFORMATION (SELECTED)

(USD \$, in millions) Income Statement, for fiscal years ended:	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022	FY2025 %change	FY2024 %change	FY2025 %of sales	FY2024 %of sales
Net sales:								
Products	307,003	294,866	298,085	316,199	4.1%	-1.1%	73.8%	75.4%
Services	109,158	96,169	85,200	78,129	13.5%	12.9%	26.2%	24.6%
Total net sales	416,161	391,035	383,285	394,328	6.4%	2.0%	100.0%	100.0%
Cost of sales:								
Products	194,116	185,233	189,282	201,471	4.8%	-2.1%	46.6%	47.4%
Services	26,844	25,119	24,855	22,075	6.9%	1.1%	6.5%	6.4%
Total cost of sales	220,960	210,352	214,137	223,546	5.0%	-1.8%	53.1%	53.8%
Gross margin	195,201	180,683	169,148	170,782	8.0%	6.8%	46.9%	46.2%
Operating expenses:								
Research and development	34,550	31,370	29,915	26,251	10.1%	4.9%	8.3%	8.0%
Selling, general and administrative	27,601	26,097	24,932	25,094	5.8%	4.7%	6.6%	6.7%
Total operating expenses	62,151	57,467	54,847	51,345	8.2%	4.8%	14.9%	14.7%
Operating income	133,050	123,216	114,301	119,437	8.0%	7.8%	32.0%	31.5%
Other income and expense	(321)	269	(565)	(334)	-219.3%	-147.6%	-0.1%	0.1%
Income before provision for income taxes	132,729	123,485	113,736	119,103	7.5%	8.6%	31.9%	31.6%
Provision for income taxes	20,719	29,749	16,741	19,300	-30.4%	77.7%	5.0%	7.6%
Net income	112,010	93,736	96,995	99,803	19.5%	-3.4%	26.9%	24.0%

(USD \$, in millions) Balance Sheet, as at:	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022	FY2025 %change	FY2024 %change	FY2025 %of assets	FY2024 %of assets
ASSETS:								
Current assets:								
Cash and cash equivalents	35,934	29,943	29,965	23,646	20.0%	-0.1%	10.0%	8.2%
Short-term marketable securities	18,763	35,228	31,590	24,658	-46.7%	11.5%	5.2%	9.7%
Accounts receivable, net	39,777	33,410	29,508	28,184	19.1%	13.2%	11.1%	9.2%
Inventories	5,718	7,286	6,331	4,946	-21.5%	15.1%	1.6%	2.0%
Vendor non-trade receivables	33,180	32,833	31,477	32,748	1.1%	4.3%	9.2%	9.0%
Other current assets	14,585	14,287	14,695	21,223	2.1%	-2.8%	4.1%	3.9%
Total current assets	147,957	152,987	143,566	135,405	-3.3%	6.6%	41.2%	41.9%
Non-current assets:								
Long-term marketable securities	77,723	91,479	100,544	120,805	-15.0%	-9.0%	21.6%	25.1%
Property, plant and equipment, net	49,834	45,680	43,715	42,117	9.1%	4.5%	13.9%	12.5%
Other non-current assets	83,727	74,834	64,758	54,428	11.9%	15.6%	23.3%	20.5%
Total non-current assets	211,284	211,993	209,017	217,350	-0.3%	1.4%	58.8%	58.1%
TOTAL ASSETS	359,241	364,980	352,583	352,755	-1.6%	3.5%	100.0%	100.0%
LIABILITIES AND SHAREHOLDERS' EQUITY:								
Current liabilities:								
Accounts payable	69,860	68,960	62,611	64,115	1.3%	10.1%	19.4%	18.9%
Other current liabilities	66,387	78,304	58,829	60,845	-15.2%	33.1%	18.5%	21.5%
Deferred revenue	9,055	8,249	8,061	7,912	9.8%	2.3%	2.5%	2.3%
Commercial paper	7,979	9,967	5,985	9,982	-19.9%	66.5%	2.2%	2.7%
Term debt	12,350	10,912	9,822	11,128	13.2%	11.1%	3.4%	3.0%
Total current liabilities	165,631	176,392	145,308	153,982	-6.1%	21.4%	46.1%	48.3%
Non-current liabilities:								
Term debt	78,328	85,750	95,281	98,959	-8.7%	-10.0%	21.8%	23.5%
Other non-current liabilities	41,549	45,888	49,848	49,142	-9.5%	-7.9%	11.6%	12.6%
Total non-current liabilities	119,877	131,638	145,129	148,101	-8.9%	-9.3%	33.4%	36.1%
Total liabilities	285,508	308,030	290,437	302,083	-7.3%	6.1%	79.5%	84.4%
Shareholders' equity:								
Common stock	93,568	83,276	73,812	64,849	12.4%	12.8%	26.0%	22.8%
Retained earnings (accumulated deficit)	(14,264)	(19,154)	(214)	(3,068)	-25.5%	8850.5%	-4.0%	-5.2%
Accumulated OCI/(loss)	(5,571)	(7,172)	(11,452)	(11,109)	-22.3%	-37.4%	-1.6%	-2.0%
Total shareholders' equity	73,733	56,950	62,146	50,672	29.5%	-8.4%	20.5%	15.6%
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	359,241	364,980	352,583	352,755	-1.6%	3.5%	100.0%	100.0%

NOTES AND REFLECTIONS

Most important ideas/points:

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